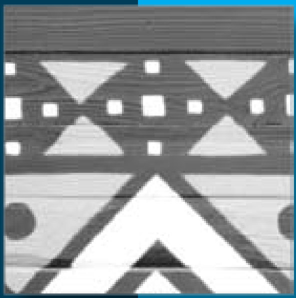
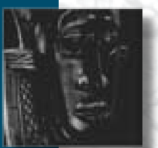


CONTENTS

NOTICE OF ANNUAL GENERAL MEETING

NOTICE IS HEREBY GIVEN that the 55th Annual General Meeting of Nairobi Stock Exchange Limited shall be held on Thursday 30th April 2009, at The Stanley Hotel, Nairobi, commencing at 4.00 p.m. to transact the following business:

1. To confirm the Minutes of the Annual General Meeting held on June 27, 2008.
2. To discuss matters arising from Minutes of the previous Annual General Meeting.
3. To receive the Chairman's Statement.
4. To receive and consider the audited accounts for the Financial Year ended December 31, 2008, and the reports of the Directors and auditors thereon.
5. To appoint Deloitte as the new auditors for the financial year 2009 and authorize directors to fix their remuneration. This is consistent with the policy of regular rotation of auditors and replaces Ernst & Young who have served for more than 5 years.



6. To elect directors:

(i) In accordance with Article 44, Mr. James Wangunyu (Stockbroker Chairman) retires by rotation and offers himself for re-election.

(ii) In accordance with Article 44, Mr. Bob Karina (Stockbroker Director) retires by rotation and offers himself for re-election.

(iii) In accordance with Article 44, Mr. Eddy Njoroge (Listed Company Director) retires by rotation and offers himself for re-election.

(iv) In accordance with Article 44, Mrs. Esther Koimett (Institutional Director) retires by rotation and offers herself for re-election.

7. To transact any other business that may legally be transacted at the meeting.

BY ORDER OF THE BOARD

LILLIAN MBINDYO
SECRETARY

April 2nd, 2009

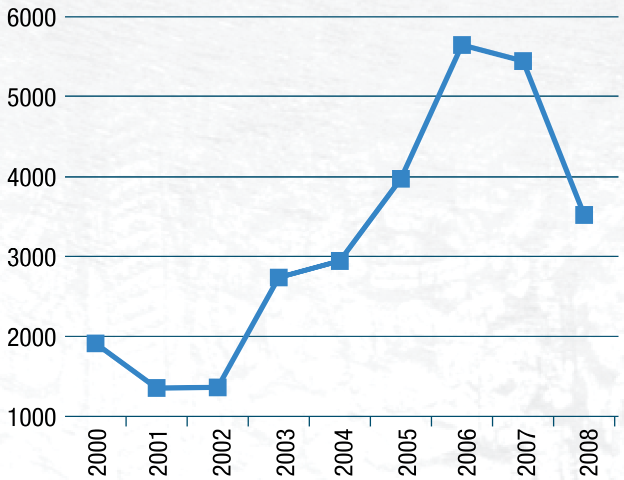
ENCLOSURES:

1. Minutes of the Annual General Meeting held on June 27, 2008.
2. Audited Accounts for the Financial Year ended December 31, 2008, inclusive of the reports of the directors and auditors.
3. Proxy form.
4. Notice of Intention to Propose a Candidate for Election as a Director form.
5. Notice of Acceptance by Candidate to be Proposed for Election as a Director form.

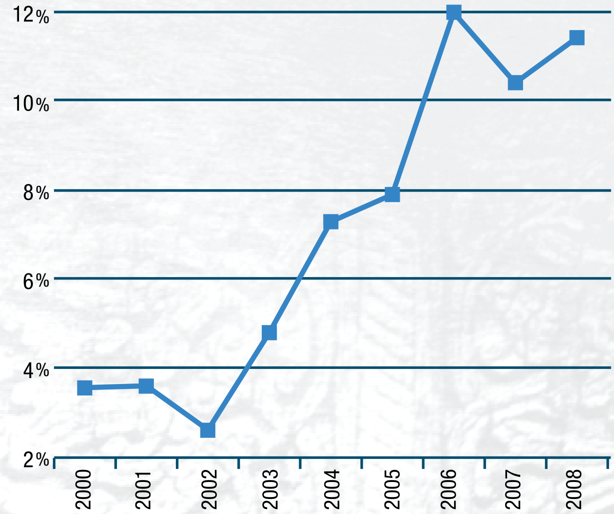
NOTES:

1. A Member entitled to attend and vote at the Annual General Meeting is entitled to appoint a proxy to attend and vote in his stead. A proxy need not be a Member of the Company. A proxy form is provided herewith. To be valid, the completed form should be received at the registered office of the Company not less than 48 hours before the time appointed for the meeting.
2. The attention of members is drawn to Article 47 in relation to notice of intention to nominate a person for election as a director.

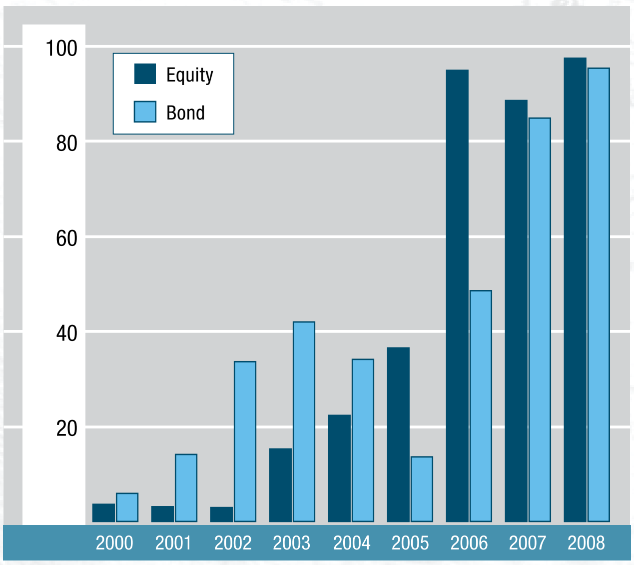
NSE 20 SHARE INDEX



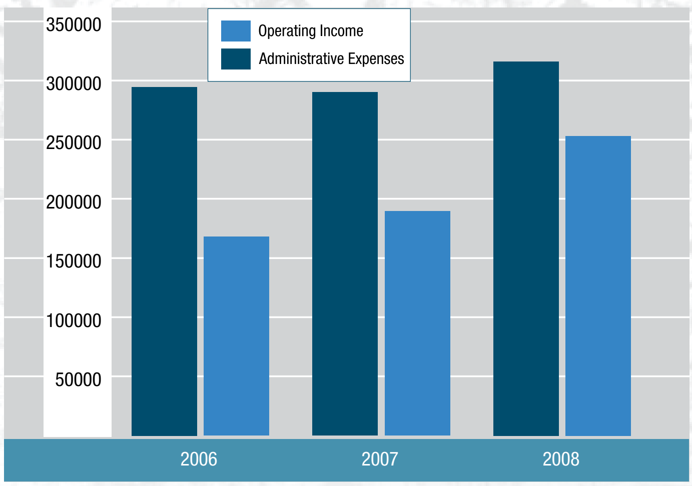
MARKET LIQUIDITY



TURNOVER (KSHS. BN)



OPERATING INCOME VIS-A-VIS EXPENSES (KSHS '000)



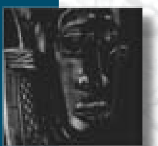
5 – YEAR SUMMARY ON MARKET PERFORMANCE

	2008	2007	2006	2005	2004
NSE 20 Share Index	3,521	5,444	5,646	2,946	2,738
Market capitalization(Kshs.billion)	854	851	792	463	314
Number of shares traded (million)	5,856	1,938	1,455	874	625
Number of transactions (equity)	890,542	973,548	598,301	176,483	124,793
Equity turnover (Kshs.billion)	97	89	95	36	22
Bond turnover (Kshs.billion)	95	85	49	14	34

BOARD OF DIRECTORS


Mr. James Wangunyu
(Chairman)

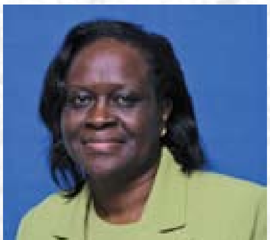

Mr. Bob Karina
(1st Vice Chairman)




Mr. Eddy Njoroge
(2nd Vice Chairman)


Mr. David Njoroge


Mr. Lutaf Kassam


Ms. Esther Koimett


Mr. Edward Odundo


Mr. Andre Desimone


Mr. Stanley Ngaine


Mr. George Maina


Mr. Peter Mwangi

COMPANY SECRETARY
Lillian Mbindyo
P.O. Box 43633 – 00100
Nairobi

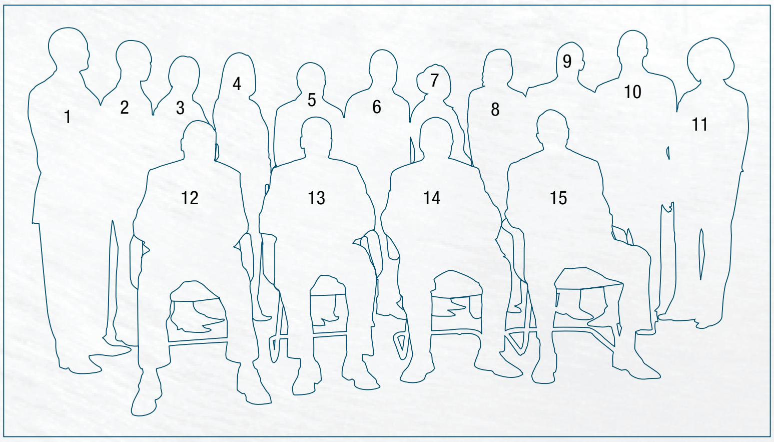
REGISTERED OFFICE
Nation Centre, 1st Floor, Kimathi street
P.O. Box 43633 – 00100
Nairobi

AUDITORS
Ernst and Young
Kenya Re Towers, Upper Hill
Off Ragati Road
P.O. Box 44286 – 00100
Nairobi

BANKERS
Kenya Commercial Bank
P.O. Box 48400 – 00100
Nairobi

LAWYERS
Hamilton Harrison and Mathews
P.O Box 3033 – 00100
Nairobi

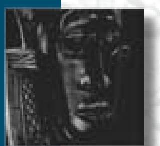
MANAGEMENT TEAM



1. John Mwaniki (Manager, IT)
2. Donald Ouma (Manager, Research & Policy Analysis)
3. Lucy Kamar (Manager, Human Resource)
4. Diana Gichaga (Manager, PR and Communications)
5. Cecilia Njoroge (Head of Trading and Surveillance)
6. Alex Githiaka (Chief Accountant)
7. Felistas Ndegwa (Head of Marketing and Business Development)
8. Lillian Mbindyo (Head of Legal and Compliance)
9. Chrysantus Macheso (Internal Auditor)
10. David Waggema (Manager, Information Systems)
11. Karen Kandie (Head of Finance)
12. Andrew Wachira (Manager, Compliance)
13. Aldrin Barasa (Head of ICT)
14. Peter Mwangi (Chief Executive)
15. David Wainaina (Manager, Surveillance)

INTRODUCTION

I am pleased to report to you on behalf of the Board of Directors of the Nairobi Stock Exchange. 2008 was a challening year for the financial services sector, both globally and locally. Nevertheless, the exchange set new records in terms of the value of both equity and fixed income securities turnover. Our domestic markets continue to move forward and evolve. The global financial crisis which spread from the United States to Europe and the rest of the world, was a result of major financial institutions in the United States and Europe buying poorly understood financial securities. They were backed by mortgages to clients vulnerable to a change in interest rates, who were highly leveraged and whose risks were poorly assessed. The extent of exposure and degree of leverage of major financial institutions is still not fully known. The resulting crisis of confidence has sharply reduced liqiudity and caused a flight to safety of US dollar denominated debt securities and gold amongst others. The incentive structure of the financial services industry which based renumeration on a nominal basis also remains unresolved. The global recession and heightened risk aversion colluded to hinder our economy's ability to recover from the December 2007 post-election crisis.



Kenya's economic growth slowed from 3.2 percent in Quarter 2 2008 to 2.1 percent in Quarter 3 2008. Due to poor weather conditions and disruption in the food growing season following post-election violence, inflation was 21.9 percent in January 2009 and 25.1 percent in February 2009. Exports climbed by 21 percent to USD. 4.971 billion in 2008, helped by higher earnings from tea (up by 33 percent to USD. 924.00 million) and horticulture (up by 26 percent to USD. 763.00 million), although the increase was a result of higher prices not volumes. Manufacturing exports rose by 22 percent to USD. 626.0 million but dipped sharply in the fourth quarter, in line with global trends. Imports kept pace with exports, rising by 22 percent to USD. 11.1 billion in 2008, spurred by higher oil costs, which jumped by 59 percent to USD. 3.1 billion (despite lower volume purchases). As world oil prices collapsed, oil imports tumbled to USD. 540.0 million in the fourth quarter from USD. 1.1 billion in the third. Non-oil imports grew 13 percent to USD. 11.074 billion.

Owing to the severe downturn in key European markets, tourist receipts were USD. 753 million; and tourist arrivals fell 30 percent year on year to 729,000. Non-tourist services (such as transportation) grew 8 percent to USD. 1.1 billion. Private transfers (including remittances), constrainted by the post-election uncertainty and the global crisis, rose 4.5 percent to USD. 2.053 billion. Total transfers fell 3 percent to USD. 2.1 billion in 2008 because of a sharp decline in official transfers to USD. 55.0 million, from USD. 196 million in 2007.

Against this challenging environment the NSE 20 Share Index fell 1923.65 points to close 2008 at 3521.18 points (a drop of 35.33 percent) from 5444.83 points at the start of 2008. Market capitalization in dollar terms, dropped 12.34 percent from USD. 13.6 billion on December 2007 to USD. 10.985 billion on December 31 2008. The performance of the NSE is mirrored by the most liquid exchanges in Africa. Egypt's CASE 30, Nigerian Stock Exchange's NSE All Share and JSE Ltd.'s FTSE/JSE All Share indexes fell 55.45 percent, 22.02 percent and 21.26 percent respectively. Besides the withdrawal of foreign investors from our market, the decline in the performance of the NSE is also partly attibutable to structural issues specific to the Kenyan market.

On June 9 2008, the shares of Safaricom Ltd., the largest mobile phone service provider in East and Central Africa commenced trading on the Nairobi Stock Exchange. It followed the largest initial public offer in East and Central Africa. The target was to raise Kshs. 50 billion but it attracted a 532 percent subscription level. The unprecedented public interest riding on the back of growth in the market for the past five years, resulted in a record number of domestic investors, investing in the capital markets for the first time. Specifically with reference to the Safaricom Ltd. IPO, the Central Depository and Settlement Corporation (CDSC) provided written confirmation that 818,191 CDS accounts were successfully credited with 9,093,744,487 shares. Residents in the East African Community were for the first time also accorded the same treatment as domestic investors. However, in the aftermarket, profit taking by foreign investors, as opposed to unrealized expectations by domestic investors, has dampened the performance of the stock. On March 30 2009, Safaricom Ltd., was trading at a 39 percent discount to its IPO price. Local investors have sold equities as rising inflation and the resultant borrowing costs have impacted negatively on their disposable income.

Market confidence has also been shaken by a number of market intermediaries being placed under statutory management. In March 2008, Nyaga Stockbrokers Ltd., was placed under statutory managemtn and was subsequently suspended from trading by the Capital Markets Authority. Effective March 16th 2009 and for a period of six months, Discount Securities Ltd., has been placed under statutory management. The Exchange through the Market Stabilisation Fund had advanced short term loans of Kshs. 100.0 million and Kshs. 31.4 million to Nyaga Stockbrokers and Discount Securities respectively.

In the same year, Chase Bank's wholly-owned subsidiary Genghis Capital Ltd., commenced operations and ABC Bank announced its intention to acquire a 51 percent stake in Crossfield Securities Ltd. On March 26 2009, Cooperative Bank announced its intention to acquire a 60 percent stake in Bob Mathews Ltd. These events follow the December 2007 acquisition of a majority stake in Solid Investments Ltd., by NIC Bank. The above events highlight the blurring of lines between financial services market intermediaries, competitive pressures and opportunities in Kenya's financial services sector. For these opportunities to be fully realised the regulatory enviroment needs to be reviewed to address regulatory arbitrage, high costs of regulatory compliance and to avoid what has happened in the United States. The G20 Summit which conluded on April 2 2009, gave a blueprint of the shape of the financial industry going forward. The members of the G20 conceded in a statement that "major failures" in regulation had been "fundamental causes" of the market turmoil they are trying to tackle. To make amends and to try to avoid a repeat of the crisis, they pledged to impose stronger restraints on hedge funds, credit rating companies, risk-taking and executive pay. In Kenya, there will be more emphasis on risk management.

REGULATORY REVIEW

By December 31 2009, investment banks and stockbrokers will be expected to have increased their capitalization to Kshs. 250.0 million and Kshs. 50.0 million respectively. The Exchange is spearheading the installation of a standardized back office system for its members, to act as a link between the automated trading system and the central depository. There are also proposals to introduce settlement caps. An independently reviewed Code of Ethics for members implemented in December 2008 at the institutional level will be cascaded to the individual level. Concurrently, the Exchange and the Capital Markets Authority are exploring the introduction of professional certification courses for market professionals. The Capital Markets Authority is reviewing the Capital Markets Authority Act "the Act". The Exchange also expects to demutualise before the end of 2009. The review of the Act also seeks to address a market environment with a demutualised exchange.

James Wangunyu NSE Chairman launches the Code of Conduct in December 2008

PRODUCT DEVELOPMENT

The review of "the Act" will also cover specific regulations subservient to the Act such as the rules and regulations on Asset Backed Securities. The Authority has also exposed to the market for comments, draft rules and regulations for Real Estate Investment Trusts. During the course of 2009, the Exchange will present to the Authority, proposals for the implementation of a market for medium and small enterprises – a SMEx market segment.

On the 27 and 28 October 2008, the Ministry of Finance, Ministry of Nairobi Metropolitan Development, Central Bank of Kenya (CBK), Capital Markets Authority (CMA), Retirement Benefits Authority (RBA), Nairobi Stock Exchange (NSE), National Economic & Social Council (NESC), Nairobi Central Business District Association (NCBDA), and the Association of Kenya Insurers (AKI), hosted Kenya's first Infrastructure Bond Conference at the Kenya School of Monetary Studies (KSMS). The Conference was officially, opened by His Excellency the President, Hon. Mwai Kibaki, C.G.H., M.P., and closed by the Prime Minister, Rt. Hon Raila Amolo Odinga. The theme of the Conference was "Tackling Poverty by Investing in Infrastructure". The primary objective of the Conference was to sensitize State Owned Enterprises (SOEs) and Municipalities on how to tap into the capital markets by issuing bonds to finance their infrastructure projects which usually require large capital outlays.

On January 28 2009, the government though the CBK launched a Kshs. 18.5 billion, 12 year infrastructure bond with coupon of 12.5 percent. The bond was oversubscribed 45 percent and provided a weighted average rate of return of 13.505 percent. The proceeds of the bond are to be allocated to energy; roads and; water, sewage & related infrastructure projects in the portions of Kshs. 7.909, Kshs. 6.435 and Kshs. 4.156 billion respectively. Although repayment will be made from the general budget, the bond provides an indication of the market's apetite for similar securities.

INVESTOR AWARENESS AND ENGAGING WITH LISTED COMPANIES

The Safaricom IPO highlighted more than ever the need for continuous education of new and existing investors on the risks and rewards of investing directly in the equity markets. The online Smart Youth Investor Challenge launched in 2008 could be used to reach out to investment clubs. The Exchange believes that retail investors should be encouraged to invest in equity through collective investment schemes. This will require coordinated efforts by the Authority, to promote industry standards for publicly disclosing performance; facilitating comparision and enabling investors make informed decisions. It will also require collective investment schemes to lower barriers to entry, such as reducing minimum investment amounts. The Exchange will also become more proactive in engaging with its listed companies on how it can make the listing experience of more value to the issuer.

I wish to thank the Members of the Board, Management and Staff of the NSE, our listed companies, investors in securities listed on the Nairobi Stock Exchange, all our market intermediaries, the Capital Markets Authority and the Government of Kenya, for the support you have given to me as Chairman of the NSE in 2008.

APPRECIATION

I would like to give special mention to the former Chief Executive, Mr. Chris Mwebesa. Since his appointment in 2005, Chris has steered the Exchange through the fastest expansion in its fifty four (54) year history. Notable achievements under his tenure, included the listing of Safaricom Ltd., the successful implementation of the Automated Trading System and Wide Area Network, the introduction of the NSE All Share Index (NASI) and commencement of data and information services. The Board of the Exchange wishes to thank Chris for his able leadership during the past 5 years and we wish him success in his new endeavors. We would also like to welcome to the Stock Exchange, the new Chief Executive, Mr. Peter Mwangi.

Peter is a former Managing Director of Centum Ltd. (formerly, ICDC Investment Company Ltd.), the largest publicly quoted investment company in East and Central Africa and he currently serves on a number of boards of other organizations. He is both a Certified Public Accountant (K) and a Certified Public Secretary (K). Mr. Mwangi has also earned the right to use the Chartered Financial Analyst designation. I and my board look forward to supporting Peter in implementing the initiatives that I have outlined above and taking the Nairobi Stock Exchange to the next level.

We look forward to the future with equanimity and optimism.

JAMES WANGUNYU
CHAIRMAN - NAIROBI STOCK EXCHANGE
2nd APRIL 2009

On behalf of the management and staff of the Nairobi Stock Exchange (NSE), I would like to share highlights on the operational and financial performance of the Exchange for the year ended December 31 2008. As highlighted by the Chairman, 2008 was a challenging year for both the global and local financial markets. For the period up to December 31 2008, the NSE 20 Share Index fell 1923.65 points to close 2008 at 3521.18 points (a drop of 35.33 percent) from 5444.83 points at the start of 2008. During the same period, market capitalization changed marginally by 0.27 percent from Kshs. 851.387 billion to Kshs. 853.675 billion.

TRADING PERFORMANCE

The increased market volatility and the listing of Safaricom Ltd., propelled equity turnover to new records. 2008 equity turnover rose 10.61 percent from the 2007 figure of Kshs. 88.17 billion to Kshs. 97.52 billion. The volume of shares traded for the year, rose by 203.96 percent from 1.93 billion to 5.86 billion. The corresponding number of deals dropped 8.17 percent from 890,542 to 973,548; the average value of deals was up 20.44 percent from Kshs. 90,922 to Kshs. 109,510.

Bond turnover, underpinned by the shift from equity to debt securities broke a new record, registering a 12.07 percent increase to Kshs. 95.36 billion from Kshs. 85.09 billion in 2007. Consistent with the trend in equity trading, the number of deals fell and the average value per transaction went up. Deals were 1,958; 21.77 percent lower than the 2007 figure of 2503. The average value per debt securities transaction increased 43.27 percent to Kshs. 48.7 million from Kshs. 34.0 million in 2007.

FINANCIAL PERFORMANCE

The Exchange's operating income was Kshs. 316.03 million, an 8.95 percent increase over the previous year's Kshs. 290.06 million. Operating income from annual, application and additional, and initial listing fees rose by 4.87 percent from Kshs. 72.28 million to Kshs. 75.80 million; and contributed 23.99 percent of operating income compared to 24.92 percent in the prior period. Application and additional and initial listing fees was Kshs. 12.038 million, 0.01 percent of the Kshs. 122.31 billion raised from the sale of both corporate equity and debt (Kshs. 66.2 billion) and the listing of new government paper (Kshs. 56.11 billion). The Exchange revenues from the sale of real time data during the trading session were Kshs. 5.269 million, or 1.67 percent of operating income. The Exchange charges a transaction levy of 0.12 percent of the value of equity securities traded at the Exchange.

Operating income from the transaction levy rose by 10.44 percent to Kshs. 234.904 million; it remains the largest component of our operating income at 74.0 percent; (2007: 73.0 percent). Administrative expenses increased by 33.53 percent to Kshs. 253.0 million. The main components of the increase were related to the 35.44 percent increase in salaries and benefits to Kshs. 62.64 million, and a 31.08 percent increase in depreciation and amortisation charge incurred by the ATS infrastructure to Kshs. 27.69 million. Provisions for bad debt increased from Kshs. 0.86 million in 2007 to Kshs. 15.26 million in 2008; and are related to Nyaga Stockbrokers being placed under statutory management. The Exchange also incurred an exchange loss of Kshs. 0.35 million. The surplus before tax fell 26.29% to Kshs. 84.37 million; our share of profit from our associate company – the Central Depository and Settlement Corporation increased 327.79 percent to Kshs. 9.13 million. Net surplus for the year fell 37.10 percent to Kshs. 52.3 million.

In 2009, external conditions will remain challenging, with exports, remittances and foreign direct investment and portfolio flows constrained as the global recession takes hold. Capital markets are the first to signal a rebound in investor sentiment and economic prospects, the Exchange must be ready when the economy turns. The Cabinet recently approved a new list of sixteen firms for full or partial sale; amongst these were Kenya Wine Agencies Ltd., and the National Bank of Kenya. The Cabinet also endorsed a formal framework for public private partnerships.

The Chairman has already highlighted the major initiatives that the Exchange will focus on in 2009 in order to restore investor confidence. The Exchange is also working together with the Central Bank of Kenya on a number of initiatives to increase the vibrancy of the debt securities market. The ultimate objective of these initiatives is to increase liquidity for the investor and the capacity of the market to finance long term private and public investment, particularly in infrastructure.

EXCHANGE INITIATIVES FOR 2009

Effective January 2009, to provide an alternative investment asset, for small and large investors, the Central Bank of Kenya (CBK) reduced the threshold for investments in Treasury Bills in the primary market from the current Kshs.1.0 million to Kshs.100,000.00. The Market Leaders Forum is working on the introduction of primary dealers and market makers. The Exchange, the Central Depository & Settlement Corporation (CDSC) and the CBK are looking at how to immobilize listed bonds in the depository of the CDSC and the implementation of a hybrid secondary market - linking the Automated Trading System (ATS) with the CBK Depository for the trading of treasury bonds to deepen liquidity in the instruments. The CBK is also facilitating the more widespread use of vertical and horizontal REPOS in the market.

REGIONALIZATION

Further trade amongst African countries, more globalization and certainly more deregulation and competition will create issuers that wish to expand beyond their home and regional markets. In November 2008, the KCB Group joined the ranks of Kenya Airways, East African Breweries and Jubilee Holdings by becoming listed on all the three East African Securities Exchanges. KCB Group has also indicated its intention to list on the Rwanda OTC Market. On March 30 2009, Equity Bank Group, which in April 2008 acquired 98 percent of Uganda Microfinance Bank, has lodged an application to cross list on the Uganda Securities Exchange, and is waiting on the necessary regulatory approvals. The East African Securities Exchanges Association has noted the urgent need to address challenges on a cross border nature, relating to corporate actions and refunds from initial public offers experienced by East African investors who had invested in securities exchanges within the East African Community, other than their home market. As one of the initiatives to address bottlenecks to facilitating portfolio flows in the East African Community, the Association has approved a service provider for a Smart Order Routing System to electronically connect their capital markets. The objective of the Smart Order Routing System will be to increase velocity of portfolio flows within the region, consolidate pools of capital and help to increase the regional and international visibility of our markets.

APPRECIATION

On behalf of the Management of the Exchange, I would like to thank the Board of Directors for its guidance, the staff for their hard work, and our clients and service providers for their continued support and loyalty.

MR. PETER MWANGI
CHIEF EXECUTIVE - NAIROBI STOCK EXCHANGE
2nd APRIL 2009

As the largest stock market in East and Central Africa, the Nairobi Stock Exchange (NSE) has grown from trading in weekly meetings in 1954 to a fully automated equity trading platform registering a high of Kshs. 3.3 billion (USD$ 38.46 million) in intraday trading.

James Wangunyu NSE Chairman signs the code of conduct as Chris Mwebesa and Peter Mwangi look on.

The stock market has witnessed an increase in its investor base, with over 1.5 million CDS registered account holders. This has resulted in an overwhelming interest in the stock market, with a majority of Initial Public Offers (IPOs) registering oversubscriptions. Of the 27 IPOs that took place in Africa in 2008, 2 originated in Kenya.

GROWING PAINS

This tremendous growth has not been without challenges, with the requisite need for regulation and supportive infrastructure in a few market intermediaries lagging behind. This has resulted in an erosion of confidence especially amongst the retail investors in the stock market.

The NSE is currently undertaking a number of initiatives to boost this confidence. A key step in this is the implementation of an Integrated Back Office System for the market intermediaries, which will assist in improving the internal control frameworks and provide a better platform to facilitate the auditing and verification of data.

Further, the Chairman of the NSE James Wangunyu launched a Code of Ethics on the 9th of December 2008,that is binding on all members of the stock exchange and is meant to bolster the current NSE Membership rules and establish best practice between the brokers and their respective clients.

The Vice President Hon. Kalonzo Musyoka address the 2008 Financial Reporting (FiRe) Award Gala Dinner.

Through the Securities Industry and Training Institute (SITI) programme that the Exchange is running, under the East Africa Securities Exchange Association (EASEA), the aim is to impart the requisite knowledge and skills to market participants.

As is common in the nascent stage of bourses across the globe, the Nairobi Stock Exchange has been a mutual organisation, with the trading rights vesting in tandem with ownership rights. This however is to change with the NSE set to demutualise. The process of demutualisation is expected to be complete this year.

The Nairobi Stock Exchange (NSE) continues to partner with the Capital Markets Authority (CMA) and Institute of Certified Public Accountants of Kenya (ICPAK) through the Financial Reporting (FiRe) Award. This award aims to recognise those organisations, both listed and unlisted who excel in financial reporting and corporate governance. Thus, through evaluation by a panel of experts in each sector, the standards of corporate governance are continuously improved.

COMPOSITION OF THE BOARD

Name	Designation
Mr. James Wangunyu	Chairman
Mr. Bob Karina	1st Vice Chairman
Mr. Edward Njoroge	2nd Vice Chairman
Mr. Stanley Ngaine	Stock Broker Director
Mr Lutaf Kassam	Institutional Director
Mr. Edward Odundo	Institutional Director
Mr. David Njoroge	Listed Companies Director
Mr. Andre Desimone	Stock Broker Director
Mr. George Maina	Stock Broker Director
Mrs. Esther Koimett	Institutional Director
Mr. Peter Mwangi	Chief Executive

BOARD MEETING ATTENDANCE SCHEDULE

There were 11 meetings held during the 2008 Financial year. Below are the details of attendance.

Name	Attendance
Mr. James Wangunyu	11
Mr. Bob Karina	11
Mr. Edward Njoroge	6
Mr. Stanley Ngaine	10
Mr Lutaf Kassam	6
Mr. Edward Odundo	11
Mr. David Njoroge	7
Mr. Andre Desimone	6
Mr. George Maina	10
Mrs. Esther Koimett	9
Mr. Peter Mwangi	2

CALENDAR FOR BOARD MEETINGS IN 2008/2009

Date of Board Meeting	Objective
August 28, 2008	Financials for June and July
October 16, 2008	Financials for August and September
November 20, 2008	Financials for October
December 9, 2008	Financials for November
January 29 , 2009	Financials for December
March 19, 2009	Financials for January and February
April 30, 2009	Annual General Meeting and Board Meeting

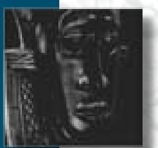
BOARD COMMITTEES (2008-2009)

Listing Committee (Committee of the full Board) - *(Frequency of Meetings - Ad hoc)*

Mr. James Wangunyu (Chairman)
Mr. Bob Karina
Mr. Edward Njoroge
Ms. Esther Koimett
Mr. David Njoroge
Mr. Edward Odundo
Mr. Lutaf Kassam
Mr. Stanley Ngaine
Mr. Andre Desimone
Mr. George Maina
Mr. Peter Mwangi
Secretary: Ms. Lillian Mbindyo

Trading & Surveillance - *(Every 6 weeks)*

Mr. James Wangunyu (Chairman)
Mr. King'ori Gathinji
Mr. Ben Nyamweya
Mr. William Murungu
Mr. Jos Konzolo
Mr. Mohammed Hassan
Ms. Lucy Njoroge
Ms. Christine Mweti
Mr. Benjamin Nyamweya
Mr. Bob M.Ouma-Awitti
Mr. Andre Desimone
Mrs. Loise N. Kariuki
Mr. Lucas Otieno
Mr. Mohamed Yusuf Kadernani
Mr. Bob Karina
Mr. Peter Mwangi
Mr. Michael Gichohi
Secretary: Ms. Cecilia Njoroge



Finance & Manpower committee - *(Every 6 weeks)*

Mr. David Njoroge (Chairman)
Mr. Bob Karina
Mr. Eddy Njoroge
Mr. Andre Desimone
Mr. Stanley Ngaine
Mr. George Maina
Mr. Peter Mwangi
Secretary: Ms. Karen Kandie

Business Development & Public Education Committee - *(Every 2 months)*

Mr. Bob Karina (Chairman)
Mr. James Murigu
Mr. Lutaf Kassam
Ms. Susan Kasinga
Mr. Kevin Bender/ Mr. Sunil Sanger
Mr. George Maina
Mr. Daniel Mboi
Mr. Peter Mwangi
Secretary: Ms. Felistas Ndegwa

Disciplinary and Compliance Committee - *(Quarterly)*

Ms. Esther Koimett (Chairperson)
Mr. David Njoroge
Mr. Edward Odundo
Mr. Andre Desimone
Mr. Richard Omwela
Mr. Charles Ogalo
Mr. Stanley Ngaine
Mr. Peter Mwangi
Secretary: Ms. Lillian Mbindyo

Audit & Corporate Governance Committee - *(Quarterly)*

Mr. Edward Odundo (Chairman)
Mr. Madabhushi Soundararajan
Mr. Lutaf Kassam
Mr. James Murigu
Mr. Mohammed Hassan
Secretary: Mr. Chrysantus Macheso

Demutualization Committee - *(Monthly)*

Mr. Eddy Njoroge (Chairman)
Mr. James Wangunyu
Mr. Jimnah Mbaru
Mr. Bob Karina
Mr. Edward Odundo
Mrs. Esther Koimett
Mr. David Njoroge
Mr. Richard Omwela
Mr. Peter Waiyaki
Mr. Lutaf Kassam
Mr. Ndung'u Gathinji
Mr. Simon Rutega
Mr. Jonathan Njau
Mr. Robert Mathu
Ms. Stella Kilonzo
Secretary: Mr. Peter Mwangi

NB

Mr. Chris Mwebesa retired on 31st of December 2008
Mr. Peter Mwangi was appointed on 24th of November 2008 and was co-opted into all the committees with exception of the Audit and Corporate Governance Committee.

In the world today, there is continual emphasis on corporates conducting their business in a sustainable manner that is conscious of its impact on the environment within which it operates. Environment here captures not only the ecosystems but social and market place environments.

COMMUNITY ENGAGEMENT

The Nairobi Stock Exchange was alive to the impact of the post election violence experienced in early 2008. The Exchange rallied to raise funds for those who were internally displaced and donated Kshs. 1.5 million to the Kenya Red Cross Society who were best placed to channel and allocate the monies.

PUBLIC EDUCATION

The stock market has witnessed increased interest and activity boosted by the surge in the numbers of retail investors. While the growth of the financial services sector has been lauded, there have been increased calls towards driving informed investments, especially amongst the individual investors, who have limited access to professional advice.

The NSE continues to take a keen interest in enhancing the financial literacy of the wananchi by encouraging a culture of saving and investments for the future. Through the Business Development and Marketing department, varied public education programmes are carried out on annual basis. In 2008, over 15,000 visitors were hosted at public education forums, hosted free of charge at the NSE. We also partner with the Capital Markets Authority (CMA) and Central Depository and Settlement Corporation (CDSC) to assist in giving a holistic view of the markets.

'NSE Smart Youth Investment Challenge' is an edutainment initiative representing a new and innovative means of facilitating not only an investor education tool but in addition, creating a culture of saving amongst the youth. Paying heed to recent research that indicates the most effective way to learn is through practical experience, this challenge which closely simulates the way in which the stock market functions, provides the best learning environment. Through one on one interaction with the workings of the Automated Trading System (ATS) and Central Depository System (CDS), participants in this challenge learn the fundamentals of the capital markets at a paced level

In 2008 the NSE, through the Business Development and Marketing department, a staggering 3,340 students were registered from both public and private universities.

ENVIRONMENTAL CONSERVATION

Essentially, the NSE is in the financial services industry, within the ambit of the capital markets. In the running of our operations, we have endeavoured to minimise our impact on the environment. Through automation of our equities trading, we have minimised waste through significant reduction in the paper related processes, without compromising on service delivery. Current efforts are under way to automate the bond trading process, which will not only increase liquidity but reduce the paper involved in the process, thus indirectly assisting in tree conservation efforts.

Energy management and conservation is key and the bourse has switched to energy saving bulbs and a conscious effort to minimise energy and making the most use of natural daylight. The installation of push taps within the premises has also mitigated wastage of water resources.

WORKPLACE

The NSE values its human resource and tries to provide a reasonably employee friendly environment. Through access to corporate sponsored career advancement training for all cadres of employees, the exchange also encourages continued self development through sponsorship for professional courses.

The Code of Ethics that is binding upon all employees provides a guiding framework to encourage proper conduct and deters unethical behaviour.

An equal opportunity employer, the NSE's management has a female representation of 40%. The Sexual Harassment policy ensures that no employee, male or female, is subjected to any form of sexual harassment.

H.E The President Hon. Mwai Kibaki rings the bell at the initial listing ceremony of Safaricom Ltd shares.

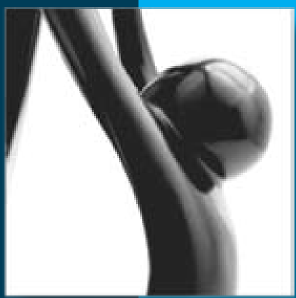
The Vice President Hon. Kalonzo Musyoka hands over the 2008 FiRe Award Overall Winner trophy to Standard Chartered Bank representatives.

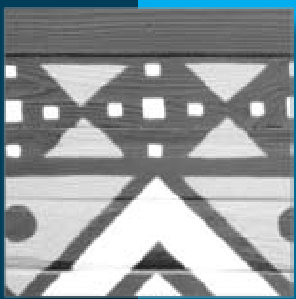
NSE Chairman, James Wangunyu is assisted by 1st Vice Chair Bob Karina, CMA C.E Stella Kilonzo, CDSC C.E Rose Mambo, Former NSE C.E Chris Mwebesa to mark the 2nd Anniversary of the Automated Trading System (ATS)

Head of Marketing & Business Development Felistas Ndegwa receives her SITI certificate from Jim Chester, a training specialist with DevPar Financial Consulting, Canada

Peter Mwangi, C.E addresses guests at the 2008 Annual Cocktail

NSE Management host visiting delegates from the United States Treasury Department.





FINANCIAL REPORT

REPORT OF THE DIRECTORS

The directors submit their report and the audited financial statements for the year ended 31 December 2008 which show the state of the company's affairs.

1. COUNTRY OF INCORPORATION AND REGISTERED OFFICE

The company is limited by guarantee and incorporated in Kenya under the Kenyan Companies Act. The address of its registered office is:

Nairobi Stock Exchange Limited
Nation Centre
PO Box 43633-00100
NAIROBI

2. PRINCIPAL ACTIVITIES

The company is the sole stock exchange, licensed by the Capital Markets Authority to provide a facility for the issue, purchase and sale of securities in Kenya. Nairobi Stock Exchange as a self-regulatory organization is involved in the development and operation of an efficient securities market.

3. RESULTS

The net surplus for the year is KShs 59,041,000 (2007: KShs 83,150,000).

4. DIRECTORS

The directors who held office during the year and to the date of this report were:

J. Wangunyu - (Chairman), Elected 27 June 2008
J. Mbaru - (Chairman), Retired 27 June 2008
B. Karina - (1st Vice Chairman), Elected 27 June 2008
E. Njoroge - (2nd Vice Chairman), Elected 27 June 2008
P. Njerenga - (2nd Vice Chairman), Retired 27 June 2008
C.Mwebesa - (Chief Executive), Retired 31 December 2008
P. Mwangi - (Chief Executive), Appointed 24 November 2008
E. Koimett - (Elected 13 April 2006)
D. Njoroge - (Elected 13 April 2006)
E. Odundo - (Elected 16 August 2005)
L. Kassam - (Elected 21 March 2007)
S. Ngaine - (Elected 27 June 2008)
G. Maina - (Elected 27 June 2008)
A. DeSimone - (Elected 27 June2008)
P. Gakiavih - (Retired 27 June 2008)

Mr. J. Wangunyu, Mr B. Karina, Ms E. Koimett and Mr. E.Njoroge retire by rotation and are eligible for re-election.

5. SECRETARY

Lilian Mbindyo
P.O. Box 43633 - 00100
NAIROBI

6. AUDITORS

Ernst & Young have expressed their willingness to continue in office in accordance with Section 159(2) of the Kenyan Companies Act (Cap 486).

By order of the Board

LILIAN MBINDYO
SECRETARY
1st APRIL 2009

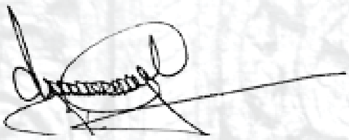
STATEMENT OF DIRECTORS' RESPONSIBILITIES

FOR THE YEAR ENDED 31st DECEMBER 2008

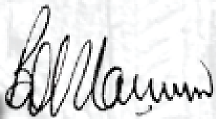
The Kenyan Companies Act requires the directors to prepare financial statements for each financial year, which give a true and fair view of the state of affairs of the company as at the end of the financial year and of its operating results for that year. It also requires the directors to ensure that the company keeps proper accounting records which disclose, with reasonable accuracy, the financial position of the company. They are also responsible for safeguarding the assets of the company.

The directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgments and estimates, in conformity with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act. The directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the company and of its operating results. The directors further accept responsibility for the maintenance of accounting records which may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

Nothing has come to the attention of the directors to indicate that the company will not remain a going concern for at least the next twelve months from the date of this statement.



JAMES WANGUNYU
CHAIRMAN



BOB KARINA
1st VICE CHAIRMAN

1st APRIL 2009

TO THE MEMBERS OF NAIROBI STOCK EXCHANGE LIMITED

We have audited the accompanying financial statements of Nairobi Stock Exchange, as set out on pages 20 to 36 which comprise the balance sheet of the company as at 31 December 2008, the income statement, statement of changes in equity and cash flow statement for the year then ended and a summary of significant accounting policies and other explanatory notes.

DIRECTORS' RESPONSIBILITY FOR THE FINANCIAL STATEMENTS

The directors are responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards. This responsibility includes: designing, implementing and maintaining internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error; selecting and applying appropriate accounting policies; and making accounting estimates that are reasonable in the circumstances.

AUDITOR'S RESPONSIBILITY

Our responsibility is to express an independent opinion on the financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depended on our professional judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, we considered the internal control relevant to the company's preparation and fair presentation of the financial statements in order to design audit procedures that were appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the company's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the directors, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

OPINION

In our opinion, the financial statements give a true and fair view of the state of the financial affairs of the company as at 31 December 2008 and of its financial performance and cash flows for the year then ended in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act.

REPORT ON OTHER LEGAL REQUIREMENTS

As required by the Kenyan Companies Act we report to you, based on our audit, that:

i) we have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit;

ii) in our opinion, proper books of account have been kept by the company, so far as appears from our examination of those books; and

iii) the company's balance sheet and income statement are in agreement with the books of account.

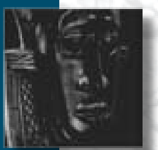
Nairobi

2nd APRIL 2009

INCOME STATEMENT

FOR THE YEAR ENDED 31st DECEMBER 2008

	Note	2008 KShs'000	2007 KShs'000
Operating income	2	316,033	290,060
Administrative expenses		(253,213)	(189,634)
Gross operating surplus		62,820	100,426
Other income	3	573	5,069
Operating surplus	**4**	**63,393**	**105,495**
Interest income		11,845	6,819
Surplus before tax		75,238	112,314
Share of profit of associate company	5	9,127	2,138
		84,365	114,452
Taxation	6	(25,324)	(31,302)
Net surplus for the year		**59,041**	**83,150**



BALANCE SHEET

AS AT 31st DECEMBER 2008

	Note	2008 KShs'000	2007 KShs'000
ASSETS			
Non Current Assets			
Equipment	7	41,887	54,816
Intangible assets	8	37,509	30,559
Investment in associated company	5	28,367	19,240
		107,763	104,615
Current Assets			
Trade and other receivables	9	43,374	49,267
Receivable from CDSC Limited investors	10	2,500	2,500
Tax recoverable	18	20,918	8,314
Government securities	11	105,000	105,000
Term deposits	12	-	84,162
Bank and cash balances	12	18,698	19,012
		190,490	268,255
TOTAL ASSETS		298,253	372,870
MEMBERS' FUNDS AND LIABILITIES			
Members' Funds and Reserves			
Members' fund contributed	13	22,240	22,240
Accumulated surplus		278,471	219,430
Market stabilization fund	14	(41,623)	85,052
TOTAL MEMBERS'FUNDS		259,088	326,722
Non Current Liabilities			
Deferred tax	15	2,462	3,689
Current Liabilities			
Annual listing fees received in advance	16	11,750	3,000
Trade and other payables	17	23,195	38,251
Provisions	18	1,758	1,208
		36,703	42,459
TOTAL MEMBERS' FUNDS AND LIABILITIES		298,253	372,870

The financial statements were approved by the Board of Directors on MARCH 19th 2009 and signed on its behalf by:

JAMES WANGUNYU	BOB KARINA	LILIAN MBINDYO
CHAIRMAN	1st VICE CHAIRMAN	SECRETARY

STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 31st DECEMBER 2008

	Members' fund KShs'000	Accumulated surplus KShs'000	Total KShs'000
At 1 January 2007	19,640	136,280	155,920
Membership fees	2,600	-	2,600
Net surplus for the year	-	83,150	83,150
At 31 December 2007	22,240	219,430	241,670
At 1 January 2008	22,240	219,430	241,670
Net surplus for the year	-	59,041	59,041
At 31 December 2008	22,240	278,471	300,071

CASH FLOW STATEMENT

FOR THE YEAR ENDED 31st DECEMBER 2008

	Note	2008 KShs'000	2007 KShs'000
Cash flows from operating activities			
Cash generated from operations	21	91,214	136,212
Tax paid		(39,155)	(61,923)
Net cash flows generated from operating activities		52,059	74,289
Cash flows from investing activities			
Purchase of equipment	7	(4,778)	(33,979)
Purchase of computer software	8	(16,927)	(2,559)
Purchase of Government securities		-	(50,607)
Interest received		11,845	6,819
Net cash (used) /generated in investing activities		(9,860)	(80,326)
Cash flows from financing activities			
Membership fee		-	2,600
Market stabilization fund		(126,675)	85,052
Net cash (used)/ generated in financing activities		(126,675)	87,652
(Decrease)/increase in cash and cash equivalents		(84,476)	81,615
Cash and cash equivalents at the beginning of the year		103,174	21,559
Cash and cash equivalents at the end of the year	12	18,698	103,174

1. ACCOUNTING POLICIES

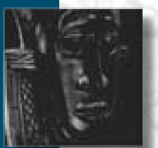
The principal accounting policies adopted in the preparation of these financial statements are set out below:

a) Basis of preparation

The financial statements are prepared in accordance with and comply with International Financial Reporting Standards (IFRS). They are prepared under the historical cost convention, as modified by the carrying value of certain investments at fair value.

Standards, amendments and interpretations that have been issued and are not yet effective

The following amendments to Standards and Interpretations will be mandatory for the accounting periods beginning on or after 1 January 2009, but which the company has not early adopted, and is reviewing their relevance to its operations.



- Amendments to IFRS 1 First-time Adoption of International Financial Reporting Standards and IAS 27 Consolidated and Separate Financial Statements (effective 1 January 2009)
- IFRS 3R Business Combinations and IAS 27R Consolidated and Separate Financial Statements (effective I July 2009)
- IAS 39 Financial Instruments: Recognition and Measurement – Eligible Hedged Items (effective 1 July 2009)
- IFRS 2, Amendments to IFRS 2 Share-based Payment - Vesting Conditions and Cancellations (effective from 1 January 2009)
- IFRS 3, Business Combinations (effective from 1 July 2009)
- IFRS 8, Operating Segments (effective from 1 January 2009)
- IAS 1, Presentation of Financial Statements amendment (effective from 1 January 2009)
- IAS 23 Borrowing Costs (effective from 1 January 2009)
- IAS 32, Amendments to IAS 32 Financial Instruments: Presentation and IAS 1 Presentation of Financial Statements - Puttable Financial Instruments and Obligations Arising on Liquidation (effective from 1 January 2009)
- IFRIC 15, Agreements for the construction of real estate (effective 1 January 2009)

b) Significant accounting judgments and estimates

The preparation of financial statements in conformity with IFRS requires the use of certain critical accounting estimates. It also requires management to exercise its judgment in the process of applying the company's accounting policies. The areas involving a higher degree of judgment or complexity, or where assumptions and estimates are significant to the financial statements, are as follows:

i) Equipment and intangible assets

Critical estimates are made by the directors in determining depreciation and amortisation rates for equipment and intangible assets. The rates used are set out in the accounting policy (e) and (f) below.

ii) Critical judgement in applying the entity's accounting policies

In the process of applying the company's accounting policies, management has made judgements in determining whether assets are impaired.

c) Revenue recognition

Initial listing income is recognized in the year in which the company makes the flotation.

Additional listing income is recognized during the year in which the issuing company makes announcement of the bonus/rights issues.

Transaction levy income is based on the percentage of the value of shares traded and is recognised on the dates of the transactions.

Annual listing fee is computed on the basis of the daily weighted average capitalisation value of the listed securities for 11 months period of between 1 January – 30 November.

d) Translation of foreign currencies

Transactions in foreign currencies during the year are converted into Kenya Shillings at rates ruling at the transaction dates. Assets and liabilities at the balance sheet date that are expressed in foreign currencies are translated into Kenya Shillings at rates ruling at that date. The resulting differences from conversion and translation are dealt with in the income statement in the year in which they arise.

e) Equipment

All equipment is stated at historical cost less depreciation and impairment losses.

Depreciation is calculated on the straight line basis to write down the cost of each asset to its residual value over its estimated useful life as follows:

Motor vehicles	4 years
Furniture, fittings and partitions	8 years
Office equipment	4 years
Computer equipment	4 years

The assets residual values, useful lives and methods of depreciation are reviewed at each financial year end and adjusted prospectively if appropriate. An item of property, and equipment is derecognized upon disposal or when no future economic benefits are expected from its use or disposal. Gains and losses on disposal of equipment are determined by reference to their carrying amounts and are taken into account in determining operating surplus.

f) Intangible assets

Intangible assets represent computer software acquired separately and are measured on initial recognition at cost. Following initial recognition, intangible assets are carried at cost less accumulated amortisation and any accumulated impairment losses. Development costs to customize the acquired software are capitalised to intangible assets. Due to the nature of computer software the intangible assets have a finite useful life and are amortised over 4 – 5 years. The amortisation expense is recognised in the income statement.

Whenever there is any indication of impairment, the recoverable amount is determined and if lower than the carrying amount, the difference is written of as an impairment loss in the income statement.

Gains or losses arising from derecognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in the income statement when the asset is derecognised.

g) Financial assets

Initial recognition
Financial assets within the scope of IAS 39 are classified as loans and receivables, held-to-maturity investments or available-for-sale financial assets, as appropriate. The company determines the classification of its financial assets at initial recognition.

Financial assets are recognised initially at fair value plus directly attributable transaction costs.

The financial assets include cash and short-term deposits, government securities , trade and other receivables, and unquoted financial instruments.

Subsequent measurement

The subsequent measurement of financial assets depends on their classification as follows:

Loans and receivables

Loans and receivables are non derivative financial assets with fixed or determinable payments that are not quoted in an active market. Such financial assets are carried at amortised cost using the effective interest rate method. Gains and losses are recognised in the income statement when the loans and receivables are derecognised or impaired, as well as through the amortisation process.

Held-to-maturity investments

Non derivative financial assets with fixed or determinable payments and fixed maturities are classified as held-to-maturity when management has the positive intention and ability to hold it to maturity. After initial measurement held-to-maturity investments are measured at amortised cost using the effective interest method. This method uses an effective interest rate that exactly discounts estimated future cash receipts through the expected life of the financial asset to the net carrying amount of the financial asset. Gains and losses are recognised in the income statement when the investments are derecognised or impaired, as well as through the amortisation process.

Available-for-sale financial assets

Available-for-sale financial assets are non-derivative financial assets that are designated as available-for-sale or are not classified in any of the preceding categories. After initial measurement, available-for-sale financial assets are measured at fair value with unrealised gains or losses recognised directly in equity until the investment is derecognised, at which time the cumulative gain or loss recorded in equity is recognised in the income statement, or determined to be impaired, at which time the cumulative loss recorded in equity is recognised in the income statement.

Cash and short-term deposits

Cash and short-term deposits in the balance sheet comprise cash at banks and on hand and short-term deposits with an original maturity of three months or less.

For the purpose of the cash flow statement, cash and cash equivalents consist of cash and short-term deposits as defined above, net of outstanding bank overdrafts.

Impairment of financial assets

The Company assesses at each balance sheet date whether there is any objective evidence that a financial asset is impaired. A financial asset is deemed to be impaired if, there is objective evidence of impairment as a result of one or more events that has occurred after the initial recognition of the asset and that loss event has an impact on the estimated future cash flows of the financial asset that can be reliably estimated. Evidence of impairment may include indications that the debtors is experiencing significant financial difficulty, default or delinquency in interest or principal payments, the probability that they will enter bankruptcy or other financial reorganisation and where observable data indicate that there is a measurable decrease in the estimated future cash flows, such as changes in arrears or economic conditions that correlate with defaults.

Financial liabilities

Initial recognition

Financial liabilities within the scope of IAS 39 are classified as loans and borrowings and are recognised initially at fair value plus directly attributable transaction costs.
The Company's financial liabilities include trade and other payables.

Subsequent measurement

After initial recognition, interest bearing loans and borrowings are subsequently measured at amortised cost using the effective interest rate method.

Gains and losses are recognised in the income statement when the liabilities are derecognised as well as through the amortisation process.

h) Investments

i) Investments in associate

The company's investment in its associate is accounted for under the equity method of accounting. An associate is an entity in which the company has significant influence and which is neither a subsidiary nor a joint venture.

Under the equity method, the investment in the associate is carried in the balance sheet at cost plus post-acquisition changes in the company's share of net assets of the associate.
After application of the equity method, the company determines whether it is necessary to recognise any additional impairment loss with respect to the company's net investment in the associate. The income statement reflects the share of the results of operations of the associate. Where there has been a change recognised directly in the equity of the associate, the company recognises its share of any changes and discloses this, when applicable, in the statement of changes in equity.

ii) Other investments

Investment securities with fixed maturity, where management has both the intent and the ability to hold to maturity are classified as held to maturity, and are carried at amortised costs using the effective yield method, less any provision for impairment.

All purchases and sales of investments are recognised on the transaction date, which is the date the company commits to purchase or sell the asset. Cost of purchase includes transaction costs. Available-for-sale investments are subsequently carried at fair value, whilst originated loans are carried at amortised cost using the effective yield method.

i) Employee entitlements

Employee entitlements to annual leave are recognised when they accrue to employees. A provision is made for the estimated liability for annual leave as a result of services rendered by employees up to the balance sheet date.

j) Taxation

Current taxation is provided for on the basis of the results for the year as shown in the financial statements, adjusted in accordance with tax legislation. Deferred tax is provided, using the liability method, for all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes. Tax rates enacted or substantively enacted at the balance sheet date are used to determine deferred tax. Deferred tax assets are recognised only to the extent that it is probable that future taxable profits will be available against which the temporary differences can be utilised.

Current income tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted by the balance sheet date.

Current income tax relating to items recognised directly in equity is recognised in equity and not in the income statement

k) Deferred Taxation

Deferred income tax is provided using the liability method on temporary differences at the balance sheet date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred income tax assets are recognised for all deductible temporary differences, carry forward of unused tax credits and unused tax losses, to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry forward of unused tax credits and unused tax losses can be utilized.

The carrying amount of deferred income tax assets is reviewed at each balance sheet date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred income tax asset to be utilised. Unrecognised deferred income tax assets are reassessed at each balance sheet date and are recognised to the extent that it has become probable that future taxable profit will allow the deferred tax asset to be recovered.

l) Retirement benefit obligations

The company operates a defined contribution provident scheme for all its employees. The scheme is administered by British American Insurance Company (Kenya) Limited and is funded from contributions from both the company and employees.

The company also contributes to a statutory contribution pension scheme, the National Social Security Fund (NSSF). The company's obligations under the scheme are limited to specific contributions legislated from time to time and are currently limited to a maximum of KShs 200 per month per employee. The company's contributions to these schemes are charged to the income statement in the year in which they relate.

m) Work-in-progress

Work-in-progress represents costs incurred in acquisition/ installation of an item of property and equipment which is not in use. Work-in-progress is not depreciated until the assets are completed and brought to use.

n) Impairment of assets

The company assesses, at each reporting date, whether there is an indication that an asset may be impaired. If such indication exists, the company's makes an estimate of the asset's recoverable amount. Where the carrying amount of an asset exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount. Impairment losses are recognized in the income statement

An asset's recoverable amount is the higher of an asset's fair value less costs to sell and its value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs to sell, an appropriate valuation model is used.

An assessment is made at each reporting date as to whether there is any indication that previously recognised impairment losses may no longer exist or may have decreased. If such indication exists, the asset's recoverable amount is estimated. A previously recognised impairment loss is reversed only if there has been a change in the assumptions used to determine the asset's recoverable amount since the last impairment loss was recognised. The reversal is limited so that the carrying amount of the asset does not exceed its recoverable amount, nor exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised for the asset in prior years. Such reversal is recognised in the income statement unless the asset is carried at revalued amount, in which case the reversal is treated as a revaluation increase.

2. OPERATING INCOME

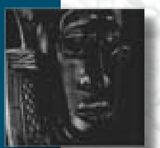
	2008 KShs'000	2007 KShs'000
Transaction levy	234,904	212,692
Annual listing fees	63,764	57,785
Initial listing fees	10,105	12,823
Additional listing fees	1,933	1,676
Data vending	5,269	4,917
Sundry income	58	167
	316,033	290,060

3. OTHER INCOME

Miscellaneous income	573	4,406
Service fees from Central Depository Settlement Corporation	-	200
Exchange gain	-	463
	573	5,069

4. OPERATING SURPLUS

The operating surplus is arrived at after charging:



Depreciation on equipment	17,707	12,097
Amortisation on intangible assets	9,977	8,345
Staff costs	62,638	47,787
Contribution to pension scheme and gratuity	7,440	6,272
Exchange loss	350	-
Auditors' remuneration	900	900
Directors' emoluments:		
- Executive	11,568	8,920
- Non - executive	17,240	16,479
And after crediting:-		
Exchange gain	-	463

5. INVESTMENT IN ASSOCIATED COMPANY

	2008 KShs'000	2007 KShs;000
At 1 January	19,240	17,102
Share of profit for the year	9,127	2,138
At 31 December	28,367	19,240

The Nairobi Stock Exchange (NSE) holds 20% shares in the Central Depository and Settlement Corporation (CDSC) Limited called up shares.

The CDSC Limited was incorporated in 1999 and has the responsibility for carrying out clearance and settlement, depository and registry of shares and other security instruments.

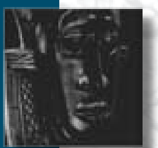
6.TAXATION

	2008 KShs'000	2007 KShs'000
Current tax	26,551	31,777
Deferred tax (Note 15)	(1,227)	(475)
	25,324	31,302

The tax on the company's surplus before tax differs from the theoretical amount that would arise using the basic tax rate as follows:

	2008 KShs'000	2007 KShs'000
Surplus before tax	75,238	114,452
Tax calculated at a tax rate of 30%	22,571	34,336
Tax effects on items not deducted for tax	6,029	5,519
Tax effects on items deducted for tax	(7,679)	(8,078)
Under provision in previous year	5,630	-
Originating and reversing temporary differences	(1,227)	(475)
Tax charge	25,324	31,302

7 EQUIPMENT	Motor Vehicles KShs'000	Furniture & fittings KShs'000	Office equipment KShs'000	Computer equipment KShs'000	Work-in progress KShs'000	Total KShs'000
(a) Year ended 31 December 2008						
Cost						
At 1 January 2008	7,740	13,674	11,574	67,432	751	101,171
Additions	-	1,178	1,032	1,963	605	4,778
Reclassification	-	1,356	-	-	(1,356)	-
At 31 December 2008	7,740	16,208	12,606	69,395	-	105,949
Accumulated Depreciation						
At 1 January 2008	5,947	4,862	8,490	27,056	-	46,355
Charge for the year	1,434	1,543	1,617	13,113	-	17,707
At 31 December 2008	7,381	6,405	10,107	40,169	-	64,062
Net book value						
At 31 December 2008	**359**	**9,803**	**2,499**	**29,226**	**-**	**41,887**
(b) Year ended 31 December 2007						
Cost						
At 1 January 2007	7,740	11,046	10,429	37,977	-	67,192
Additions	-	2,628	1,145	29,455	751	33,979
At 31 December 2007	7,740	13,674	11,574	67,432	751	101,171
Accumulated Depreciation						
At 1 January 2007	4,513	3,777	7,288	18,680	-	34,258
Charge for the year	1,434	1,085	1,202	8,376	-	12,097
At 31 December 2007	5,947	4,862	8,490	27,056	-	46,355
Net book value						
At 31 December 2007	**1,793**	**8,812**	**3,084**	**40,376**	**751**	**54,816**



No depreciation has been charged in arriving at the results for the year in respect of certain fully depreciated equipment with a cost of KShs 51.3million (2007- KShs 34.25 million) which are still in use. If depreciation had been charged during the year on the cost of these assets at normal rates, it would have amounted to KShs 9.7 million (2007 – KShs 8.1 million).

8. INTANGIBLE ASSETS

(a) Year ended 31 December 2008	Automated trading system software KShs'000	Other software KShs'000	software development costs KShs '000	Total KShs'000
Cost				
At 1 January 2008	38,932	6,985	-	45,917
Additions	9,681	1,739	5,507	16,927
At 31 December 2008	48,613	8,724	5,507	62,844
Amortisation				
At 1 January 2008	10,039	5,319	-	15,358
Amortisation for the year	8,916	1,061	-	9,977
At 31 December 2008	18,955	6,380	-	25,335
Net book value				
At 31 December 2008	**29,658**	**2,344**	**5,507**	**37,509**
(b) Year ended 31 December 2007				
Cost				
At 1 January 2007	36,374	6,984	-	43,358
Additions	2,558	1	-	2,559
At 31 December 2007	38,932	6,985	-	45,917
Amortisation				
At 1 January 2007	2,425	4,588	-	7,013
Amortisation for the year	7,614	731	-	8,345
At 31 December 2007	10,039	5,319	-	15,358
Net book value				
At 31 December 2007	**28,893**	**1,666**	**-**	**30,559**

Software development costs relate to costs incurred for the customisation of ACCPAC computer system which is not yet operational as at year end.

9 (a) TRADE AND OTHER RECEIVABLES

	2008 KShs'000	2007 KShs'000
Trade receivables	27,798	28,194
Receivables from related companies (Note 21(iii))	-	216
Prepayments and deposits	14,633	12,227
Other receivables	15,042	9,246
	57,473	49,883
Provision for bad debts (Note 9b)	(14,099)	(616)
	43,374	**49,267**

9.(b) PROVISION FOR BAD DEBTS

As at 31 December 2008, receivables amounting to KShs 14 million were fully impaired and provided for. Movements in the provisions for impairment of receivables were as follows:

	2008 KShs'000	2007 KShs'000
At 1 January	616	-
Additional provision	13,483	616
At 31 December(Note 9a)	14,099	616

10. RECEIVABLE FROM CDSC LIMITED INVESTORS

	2008 KShs'000	2007 KShs'000
Dar-es-Salaam Stock Exchange	2,500	2,500

This represents amount paid by the Exchange on behalf of Dar-es-Salaam Stock Exchange for their proportionate called up shareholding in CDSC Limited. The financial asset has been classified as loans and receivable and is initially measured at cost which approximate fair value.

11. GOVERNMENT SECURITIES

This relates to investment in treasury bills, maturing within 91 and 182 days after the date of acquisition. The government securities are classified as held to maturity and measured at amortised cost.

12. CASH AND CASH EQUIVALENTS

Cash and cash equivalents included in the cash flow statement comprise the following balance sheet amounts:-

	2008 KShs'000	2007 KShs'000
Bank and cash balances	18,698	19,012
Term deposits	-	84,162
	18,698	103,174

13. MEMBERS' FUND CONTRIBUTED

	2008 KShs'000	2007 KShs'000
Members fund		
At the beginning of the year	22,240	19,640
Membership fees	-	2,600
At 31 December	22,240	22,240

14. MARKET STABILIZATION FUND

	2008 KShs'000	2007 KShs'000
At 1 January	85,052	-
Sale of seat at the Exchange	-	252,577
Payment to Francis Thuo & Partners investors	6,863	(167,525)
Interest earned on investment in term deposit	163	-
Advance to Nyaga Stockbrokers Limited	(102,501)	-
Advance to Discount Securities Limited	(31,200)	-
At 31 December	(41,623)	85,052

The sale of an additional seat at the Exchange was approved by the directors in 2007. The proceeds of the sale were used in compensating investors whose funds, Francis Thuo & Partners could not pay, prior to its being put under the statutory management of the Exchange, by Capital Markets Authority. The decision to pay the clients of the brokerage firm was borne of the necessity to maintain stability in the stock market in the wake of its inability to meet its obligations to investors. In 2008, the entire balance of the amount including funds from the company's other sources have been advanced to Nyaga Stockbrokers Limited and Discount Securities Limited to enable them meet their financial obligations to the investors. This has led to a deficit in the fund. The market stabilization fund is applied at the discretion of the Exchange and only in deserving circumstances approved by the members of the Exchange.

15. DEFERRED TAX

Deferred tax is calculated on all temporary differences under the liability method using a principal tax rate of 30%. The movement on the deferred tax account is as follows:

	2008 KShs'000	2007 KShs'000
At 1 January	(3,689)	(4,164)
Charged to the income statement (Note 6)	1,227	475
At 31 December	(2,462)	(3,689)

Deferred tax movement Income statement	1.1.2008 Charged to KShs'000	31.12.2008 KShs'000	KShs'000
Provisions	(549)	1,674	1,125
Accelerated wear and tear allowances	(3,140)	(447)	(3,587)
	(3,689)	1,227	(2,462)

16. ANNUAL LISTING FEES RECEIVED IN ADVANCE

The annual listing fees are billed in advance and accrued over the year for accounting purposes.

17. TRADE AND OTHER PAYABLES

	2008 KShs'000	2007 KShs'000
Capital Markets Authority	935	846
Accrued expenses	17,637	27,108
Data vendors deposit	345	1,036
Other payables	4,278	9,261
	23,195	38,251

18. PROVISIONS

	2008 KShs'000	2007 KShs'000
At 1 January	1,208	920
Increase in provisions	550	288
At 31 December	1,758	1,208

Provisions relate to accrued leave not taken.

19. TAX RECOVERABLE

	2008 KShs'000	2007 KShs'000
Balance brought forward	(8,314)	21,832
Tax charge for the year	26,551	31,777
Tax paid	(39,155)	(61,923)
Balance carried forward	(20,918)	(8,314)

20. COMMITMENTS

Operating lease commitments due:-

	2008 KShs'000	2007 KShs'000
Falling within 1 year	17,125	15,094
Falling after 1 year but within 5 years	64,149	11,524
Falling after 5 years	15,799	
	97,073	26,618

Operating lease commitments relate to the lease rentals payable for the offices where the Exchange is situated.

21. CASH GENERATED FROM OPERATIONS

Reconciliation of surplus before tax to cash generated from operations:

	2008 KShs'000	2007 KShs'000
Surplus before tax	84,365	114,452
Adjustments for:		
Depreciation (Note 7)	17,707	12,097
Amortisation (Note 8)	9,977	8,345
Fair value gain in investment in associate (Note 5)	(9,127)	(2,138)
Interest income	(11,845)	(6,819)
Trade and other receivables	5,893	17,778
Provision for other liabilities	550	288
Trade and other payables	(6,306)	(7,791)
Cash generated from operations	91,214	136,212

22. RELATED PARTY TRANSACTIONS

As at 31 December 2008, the company had 10(2007:14) member stockbrokers and 12 (2007:7) licensed investment banks. The following transactions were carried out with related parties:-

i) Directors' emoluments

	2008 KShs'000	2007 KShs'000
Non- executive	17,240	16,479
As executives	11,568	8,920

22.RELATED PARTY TRANSACTIONS (continued)

ii) Key management compensation	2008 KShs'000	2007 KShs'000
Salaries and other short-term employment benefits	34,754	30,609
Post employment benefits	2,054	1,542
iii) Outstanding balances arising from transactions with related parties		
Net receivables from AKS Nominees	-	16
Net receivable from CDSC Limited	-	200
	-	216

The company charges investors, through the brokers, a transactions levy of 0.12% (2007: 0.12%), of the value of securities traded at the Exchange (turnover). During the year, the total turnover was KShs 195,752 million (2007: KShs 177,240 million) resulting in a transaction levy of KShs 234.9 million (2007: KShs 212.7 million).

23.CONTINGENT LIABILITIES

At 31 December 2008, the company had no contingent liabilities in respect of bank and other guarantees and other matters arising in the ordinary course of business.

The company has lodged an appeal to the CMA Appeals tribunal with regard to a penalty of KShs 4,250,000 imposed by the CMA. The directors are of the opinion that based on the information available, the penalty will not be awarded by the tribunal.

24.RISK MANAGEMENT OBJECTIVES AND POLICIES

The main business risks faced by the company in respect of its principal non-derivative financial instruments are liquidity risk, interest rate risk and foreign currency risk. The directors review and agree policies for managing these risks.

The company maintains a conservative policy regarding currency and interest rate risks and does not engage in speculation in the markets. In addition, the company does not speculate or trade in derivative financial instruments.

Interest rate risk
The company is not exposed to significant interest rate risk as it does not have external funding or debt instruments that otherwise have inherent interest risk exposure during the year.
The following table sets out the carrying amount, by maturity, of the company's financial instruments that are exposed to interest rate risk:

31 December 2008	1 month KShs '000'	1-3 months KShs '000'	3-6 months KShs '000'	Total KShs '000'
Government securities	-	45,000	60,000	105,000
31 December 2007				
Government securities	-	85,000	20,000	105,000
Term deposits	**84,162**	**-**	**-**	**84,162**

The sensitivity analysis done on the interest rate exposure is not representative of risks inherent in the financial instruments as they are not reflective of the exposure during the year under review.

24. RISK MANAGEMENT OBJECTIVES AND POLICIES (continued)

Foreign Currency Exchange Risk

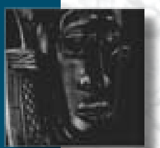
The company's policy is to records transactions in foreign currencies at the rate in effect at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies are retranslated at the rate of exchange in effect at the balance sheet date. All gains or losses on changes in currency exchange rates are accounted for in the income statement. The company however operates wholly within Kenya and its assets and liabilities are mainly denominated in local currency. Consequently, the company's exposure to exchange risk is minimal. In light of this, the directors are of the opinion that any sensitivity analysis with respect to the foreign exchange exposure would be unrepresentative.

Credit Risk

The largest concentrations of credit exposure within the company relate to cash and cash equivalents held with banks and trade receivables.
The company only places significant amounts of funds with recognised financial institutions with strong credit ratings and does not consider the credit risk exposure to be significant. The company is exposed to credit risk in its trade receivables and a provision for impairment of receivables is established when there is objective evidence that the company will not be able to collect all the amounts due according to the original terms of the trade debts.
The company deals only with recognised, creditworthy third parties. Receivable balances are monitored on an ongoing basis with the result that the company's exposure to bad debts is not significant. Since the company trades only with recognised third parties, management deems there is no requirement for collateral.

Liquidity risk

Liquidity risk is the risk that the company will encounter difficulties in meeting its obligations from its financial liabilities. The company's approach to managing liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the company's reputation.



Prudent liquidity risk management implies maintaining sufficient cash and marketable securities, the availability of funding through an adequate amount of committed credit facilities and the ability to close out market positions.

Fair Values of Financial Assets

In the opinion of the directors, the fair values of the financial assets approximate their carrying amounts due to the generally short periods to contractual repricing or maturity dates.

Weighted average effective interest rates at 31 December 2008 were as follows:

	2008 %	2007 %
Treasury bills	7.62	6.66
Short term deposit	-	4.00

25. CAPITAL MANAGEMENT

The primary objective of the company's capital management is to ensure that the company maintains healthy capital ratios in order to support its business.

The company maintains an actively managed capital base to cover risks inherent in the business. The impact of the level of capital on company's return is also recognised and the company recognises the need to maintain a balance between the higher returns that might be possible with greater gearing and advantages and security afforded by a sound capital position.

26. COMPARATIVES

Where necessary, comparative figures have been adjusted to conform with changes in the presentation in the current year.

27. CURRENCY

These financial statements are presented in Kenya Shillings (KShs) and are rounded to the nearest KShs 1,000